

LEGISLATURE OF NEBRASKA  
ONE HUNDRED NINTH LEGISLATURE  
SECOND SESSION

**LEGISLATIVE BILL 1165**

Introduced by von Gillern, 4.

Read first time January 20, 2026

Committee:

1 A BILL FOR AN ACT relating to revenue and taxation; to amend sections  
2 49-801.01, 81-12,144, 81-12,146, 81-12,147, 81-12,148, and  
3 81-12,149, Reissue Revised Statutes of Nebraska, sections 77-6502,  
4 77-6507, 77-6509, and 77-6516, Revised Statutes Cumulative  
5 Supplement, 2024, and section 77-6831, Revised Statutes Supplement,  
6 2025; to change provisions relating to change in control and  
7 ownership under the Key Employer and Jobs Retention Act; to change  
8 provisions relating to credit percentages under the Imagine Nebraska  
9 Act; to define a term and provide for capital improvement grants to  
10 certain employers under the Site and Building Development Act; to  
11 create a grant program managed by the Department of Labor to provide  
12 additional support to certain employers experiencing a change of  
13 ownership and control to retain or attract workforce in the state;  
14 to harmonize provisions; to provide severability; to repeal the  
15 original sections; and to declare an emergency.  
16 Be it enacted by the people of the State of Nebraska,

1       **Section 1.** Section 49-801.01, Reissue Revised Statutes of Nebraska,  
2 is amended to read:

3       49-801.01 Except as provided by Article VIII, section 1B, of the  
4 Constitution of Nebraska and in sections 77-1106, 77-1108, 77-1109,  
5 77-1117, 77-1119, 77-2701.01, 77-2714 to 77-27,123, 77-27,191, 77-2902,  
6 77-2906, 77-2908, 77-2909, 77-4103, 77-4104, 77-4108, 77-5509, 77-5515,  
7 77-5527 to 77-5529, 77-5539, 77-5717 to 77-5719, 77-5728, 77-5802,  
8 77-5803, 77-5806, 77-5903, 77-6302, 77-6306, 77-6507, 77-6509, 77-6513,  
9 77-6519, 77-6811, 77-6815, 77-6819, 77-6821, 77-6822, 77-6831, 77-6834,  
10 77-6842, 77-6908, 77-6913, 77-6915, 77-6916, and 77-6925, any reference  
11 to the Internal Revenue Code refers to the Internal Revenue Code of 1986  
12 as it exists on April 12, 2018.

13       **Sec. 2.** Section 77-6502, Revised Statutes Cumulative Supplement,  
14 2024, is amended to read:

15       77-6502 The purpose of the Key Employer and Jobs Retention Act is to  
16 provide incentives to encourage key employers to remain in the state and  
17 retain well-paid employees in the state when there is a change in  
18 ownership and control of the key employer and the new ownership structure  
19 is ~~owners are~~ considering moving some or all of the key employer's jobs  
20 to other states.

21       **Sec. 3.** Section 77-6507, Revised Statutes Cumulative Supplement,  
22 2024, is amended to read:

23       77-6507 (1) Except as provided in subsection (2) of this section,  
24 change ~~Change~~ in ownership and control has the same meaning as described  
25 in 34 C.F.R. 600.31, which shall mean the regulation as amended on  
26 November 1, 2019, and which took effect on July 1, 2020.

27       (2) Change of ownership and control also includes the merger or  
28 combination, including by acquisition of assets, of a key employer within  
29 the state that has its corporate headquarters in the state, with a  
30 foreign entity that has its corporate headquarters in another state, if  
31 the following requirements are met:

1       (a) The key employer within the state had more than three thousand  
2       full-time employees as defined and described in section 4980H of the  
3       Internal Revenue Code of 1986, as amended, and the regulations for such  
4       section, within the state for each of the ten years immediately preceding  
5       the merger or combination;

6       (b) The foreign entity has an actual or implied enterprise value in  
7       excess of twenty-five billion dollars on the merger or combination date;  
8       and

9       (c) The merger or combination occurs between July 1, 2025, and  
10       December 31, 2029.

11       (3) For purposes of this section foreign entity means an entity that  
12       is not organized under the laws of this state.

13       **Sec. 4.** Section 77-6509, Revised Statutes Cumulative Supplement,  
14       2024, is amended to read:

15       77-6509 Key employer means a taxpayer that:

16       (1) Employs at least one thousand equivalent employees in Nebraska  
17       during the base year;

18       (2) Offers all full-time employees, as defined and described in  
19       section 4980H of the Internal Revenue Code of 1986, as amended, the  
20       opportunity to enroll in minimum essential coverage under an eligible  
21       employer-sponsored plan, as those terms are defined and described in  
22       section 5000A of the Internal Revenue Code of 1986, as amended;

23       (3) Offers all full-time employees, as defined and described in  
24       section 4980H of the Internal Revenue Code of 1986, as amended, a  
25       sufficient package of benefits as specified in the Imagine Nebraska Act;

26       (4) Enforces a company policy against any discrimination that is  
27       prohibited by federal or state law;

28       (5) Electronically verifies the work eligibility status of all new  
29       employees employed in Nebraska within ninety days after the date of hire  
30       during the entire performance period;

31       (6) Has gone through a change in ownership and control within the

1 twenty-four months immediately prior to the application;

2 (7) Is at risk of moving more than one thousand existing equivalent  
3 employees from the state, as determined by the director, or is  
4 headquartered in the state and is described in subsection (2) of section  
5 77-6507;

6 (8) Retains at least ninety percent of its equivalent base-year  
7 employment; and

8 (9) Is a qualified business.

9 **Sec. 5.** Section 77-6516, Revised Statutes Cumulative Supplement,  
10 2024, is amended to read:

11 77-6516 (1) If a key employer has entered into an agreement with the  
12 state pursuant to section 77-6517, the key employer shall during each  
13 year of the performance period receive the wage retention credit approved  
14 by the director in the manner provided in the Key Employer and Jobs  
15 Retention Act.

16 (2) The wage retention credit shall equal five percent of the total  
17 compensation paid by the key employer in the year to all retained  
18 employees of the key employer in Nebraska who are paid wages for services  
19 rendered at a rate equal to at least one hundred percent of the Nebraska  
20 statewide average hourly wage for the year of application. The wage  
21 retention credit earned for all qualified key employers shall not exceed  
22 four million dollars in any year, except in the case of a change of  
23 ownership and control described in subsection (2) of section 77-6507, in  
24 which case it shall not exceed five million dollars in any year. The wage  
25 retention credit shall not accrue or be paid in the case of a change of  
26 ownership and control described in subsection (2) of section 77-6507  
27 prior to January 1, 2030. If two or more key employers qualify for  
28 benefits in any given year, an employer with a change of ownership and  
29 control described in subsection (2) of section 77-6507 will be fully  
30 funded first, and thereafter, the one with the earlier approval will be  
31 fully funded prior to others with later approval first.

1           (3) The wage retention credits shall be allowed for each year in the  
2 performance period. Unused credits may carry over only to the end of the  
3 performance period.

4           (4) The total amount all key employers may receive in credits  
5 pursuant to the Key Employer and Jobs Retention Act shall not exceed  
6 forty million dollars. If two or more key employers qualify for benefits,  
7 an employer with a change of ownership and control described in  
8 subsection (2) of section 77-6507 will be fully funded first, and  
9 thereafter, the one with the earlier approval will be fully funded prior  
10 to others with later approval first. This benefit is in addition to any  
11 benefits the key employer may otherwise qualify for under the Imagine  
12 Nebraska Act or may have qualified for previously under the Nebraska  
13 Advantage Act or the Employment and Investment Growth Act.

14           (5) The wage retention credit shall be claimed by filing the forms  
15 required by the Tax Commissioner with the income tax return for the  
16 taxable year which includes the end of the year the credits were earned.  
17 The credits may be used after any other nonrefundable credits to reduce  
18 the key employer's income tax liability imposed by sections 77-2714 to  
19 77-27,135. Credits may be used beginning with the taxable year which  
20 includes December 31 of the first year in the performance period. The  
21 last year for which credits may be used is the taxable year which  
22 includes December 31 of the last year of the performance period. Any  
23 decision on how part of the credit is applied shall not limit how the  
24 remaining credit could be applied under this section.

25           (6) The key employer may use the wage retention credit to reduce the  
26 key employer's income tax withholding employer or payor tax liability  
27 under section 77-2756 or 77-2757. To the extent of the credit used, such  
28 withholding shall not constitute public funds or state tax revenue and  
29 shall not constitute a trust fund or be owned by the state. The use by  
30 the key employer of the credit shall not change the amount that otherwise  
31 would be reported by the key employer to the employee under section

1 77-2754 as income tax withheld and shall not reduce the amount that  
2 otherwise would be allowed by the state as a refundable credit on an  
3 employee's income tax return as income tax withheld under section  
4 77-2755.

5 **Sec. 6.** Section 77-6831, Revised Statutes Supplement, 2025, is  
6 amended to read:

7 77-6831 (1) A taxpayer shall be entitled to the sales and use tax  
8 incentives contained in subsection (2) of this section if the taxpayer:

9 (a) Attains a cumulative investment in qualified property of at  
10 least five million dollars and hires at least thirty new employees at the  
11 qualified location or locations before the end of the ramp-up period;

12 (b) Attains a cumulative investment in qualified property of at  
13 least two hundred fifty million dollars and hires at least two hundred  
14 fifty new employees at the qualified location or locations before the end  
15 of the ramp-up period; or

16 (c) Attains a cumulative investment in qualified property of at  
17 least fifty million dollars at the qualified location or locations before  
18 the end of the ramp-up period. To receive incentives under this  
19 subdivision, the taxpayer must meet the following conditions:

20 (i) The average compensation of the taxpayer's employees at the  
21 qualified location or locations for each year of the performance period  
22 must equal at least one hundred fifty percent of the Nebraska statewide  
23 average hourly wage for the year of application;

24 (ii) The taxpayer must offer to its employees who constitute full-  
25 time employees as defined and described in section 4980H of the Internal  
26 Revenue Code of 1986, as amended, and the regulations for such section,  
27 at the qualified location or locations for each year of the performance  
28 period, the opportunity to enroll in minimum essential coverage under an  
29 eligible employer-sponsored plan, as those terms are defined and  
30 described in section 5000A of the Internal Revenue Code of 1986, as  
31 amended, and the regulations for such section; and

1           (iii) The taxpayer must offer a sufficient package of benefits as  
2 described in subdivision (1)(j) of section 77-6828.

3           (2) A taxpayer meeting the requirements of subsection (1) of this  
4 section shall be entitled to the following sales and use tax incentives:

5           (a) A refund of all sales and use taxes paid under the Local Option  
6 Revenue Act, the Nebraska Revenue Act of 1967, the Qualified Judgment  
7 Payment Act, and sections 13-319, 13-324, and 13-2813 from the date of  
8 the complete application through the meeting of the required levels of  
9 employment and investment for all purchases, including rentals, of:

10           (i) Qualified property used at the qualified location or locations;

11           (ii) Property, excluding motor vehicles, based in this state and  
12 used in both this state and another state in connection with the  
13 qualified location or locations except when any such property is to be  
14 used for fundraising for or for the transportation of an elected  
15 official;

16           (iii) Tangible personal property by a contractor or repairperson  
17 after appointment as a purchasing agent of the owner of the improvement  
18 to real estate when such property is incorporated into real estate at the  
19 qualified location or locations. The refund shall be based on fifty  
20 percent of the contract price, excluding any land, as the cost of  
21 materials subject to the sales and use tax;

22           (iv) Tangible personal property by a contractor or repairperson  
23 after appointment as a purchasing agent of the taxpayer when such  
24 property is annexed to, but not incorporated into, real estate at the  
25 qualified location or locations. The refund shall be based on the cost of  
26 materials subject to the sales and use tax that were annexed to real  
27 estate; and

28           (v) Tangible personal property by a contractor or repairperson after  
29 appointment as a purchasing agent of the taxpayer when such property is  
30 both (A) incorporated into real estate at the qualified location or  
31 locations and (B) annexed to, but not incorporated into, real estate at

1 the qualified location or locations. The refund shall be based on fifty  
2 percent of the contract price, excluding any land, as the cost of  
3 materials subject to the sales and use tax; and

4 (b) An exemption from all sales and use taxes under the Local Option  
5 Revenue Act, the Nebraska Revenue Act of 1967, the Qualified Judgment  
6 Payment Act, and sections 13-319, 13-324, and 13-2813 on the types of  
7 purchases, including rentals, listed in subdivision (a) of this  
8 subsection for such purchases, including rentals, occurring during each  
9 year of the performance period in which the taxpayer is at or above the  
10 required levels of employment and investment, except that the exemption  
11 shall be for the actual materials purchased with respect to subdivisions  
12 (2)(a)(iii), (iv), and (v) of this section. The Tax Commissioner shall  
13 issue such rules, regulations, certificates, and forms as are appropriate  
14 to implement the efficient use of this exemption.

15 (3)(a) Upon execution of the agreement, the taxpayer shall be issued  
16 a direct payment permit under section 77-2705.01, notwithstanding the  
17 three million dollars in purchases limitation in subsection (1) of  
18 section 77-2705.01, for each qualified location specified in the  
19 agreement, unless the taxpayer has opted out of this requirement in the  
20 agreement. For any taxpayer who is issued a direct payment permit, until  
21 such taxpayer makes the investment in qualified property and hires the  
22 new employees at the qualified location or locations as specified in  
23 subsection (1) of this section, the taxpayer must pay and remit any  
24 applicable sales and use taxes as required by the Tax Commissioner.

25 (b) If the taxpayer makes the investment in qualified property and  
26 hires the new employees at the qualified location or locations as  
27 specified in subsection (1) of this section, the taxpayer shall receive  
28 the sales tax refunds described in subdivision (2)(a) of this section.  
29 For any year in which the taxpayer is not at the required levels of  
30 employment and investment, the taxpayer shall report all sales and use  
31 taxes owed for the period on the taxpayer's tax return.



1           (4) The taxpayer shall be entitled to one of the following credits  
2 for payment of wages to new employees:

3           (a)(i) If a taxpayer attains a cumulative investment in qualified  
4 property of at least one million dollars and hires at least ten new  
5 employees at the qualified location or locations before the end of the  
6 ramp-up period, the taxpayer shall be entitled to a credit equal to four  
7 percent times the average wage of new employees times the number of new  
8 employees. Wages in excess of one million dollars paid to any one  
9 employee during the year shall be excluded from the calculations under  
10 this subdivision;

11           (ii) If the taxpayer attains a cumulative investment in qualified  
12 property of at least one million dollars and hires at least ten new  
13 employees at the qualified location or locations before the end of the  
14 ramp-up period and the number of new employees and investment are at a  
15 qualified location in a county in Nebraska with a population of one  
16 hundred thousand or greater, and at which the majority of the business  
17 activities conducted are described in subdivision (1)(a) or (1)(n) of  
18 section 77-6818, the taxpayer shall be entitled to a credit equal to four  
19 percent times the average wage of new employees times the number of new  
20 employees. Wages in excess of one million dollars paid to any one  
21 employee during the year shall be excluded from the calculations under  
22 this subdivision; or

23           (iii) If the taxpayer attains a cumulative investment in qualified  
24 property of at least one million dollars and hires at least ten new  
25 employees at the qualified location or locations before the end of the  
26 ramp-up period and the number of new employees and investment are at a  
27 qualified location or locations within one or more counties in Nebraska  
28 that each have a population of less than one hundred thousand, and at  
29 which the majority of the business activities conducted are described in  
30 subdivision (1)(a) or (1)(n) of section 77-6818, the taxpayer shall be  
31 entitled to a credit equal to six percent times the average wage of new

1 employees times the number of new employees. For purposes of meeting the  
2 ten-employee requirement of this subdivision, the number of new employees  
3 shall be multiplied by two. Wages in excess of one million dollars paid  
4 to any one employee during the year shall be excluded from the  
5 calculations under this subdivision;

6 (b) If a taxpayer hires at least twenty new employees at the  
7 qualified location or locations before the end of the ramp-up period, the  
8 taxpayer shall be entitled to a credit equal to five percent times the  
9 average wage of new employees times the number of new employees if the  
10 average wage of the new employees equals at least one hundred percent of  
11 the Nebraska statewide average hourly wage for the year of application.  
12 The credit shall equal eight ~~seven~~ percent times the average wage of new  
13 employees times the number of new employees if the average wage of the  
14 new employees equals at least one hundred fifty percent of the Nebraska  
15 statewide average hourly wage for the year of application. The credit  
16 shall equal ten ~~nine~~ percent times the average wage of new employees  
17 times the number of new employees if the average wage of the new  
18 employees equals at least two hundred percent of the Nebraska statewide  
19 average hourly wage for the year of application. Wages in excess of one  
20 million dollars paid to any one employee during the year shall be  
21 excluded from the calculations under this subdivision;

22 (c) If a taxpayer attains a cumulative investment in qualified  
23 property of at least five million dollars and hires at least thirty new  
24 employees at the qualified location or locations before the end of the  
25 ramp-up period, the taxpayer shall be entitled to a credit equal to five  
26 percent times the average wage of new employees times the number of new  
27 employees if the average wage of the new employees equals at least one  
28 hundred percent of the Nebraska statewide average hourly wage for the  
29 year of application. The credit shall equal seven percent times the  
30 average wage of new employees times the number of new employees if the  
31 average wage of the new employees equals at least one hundred fifty

1 percent of the Nebraska statewide average hourly wage for the year of  
2 application. The credit shall equal nine percent times the average wage  
3 of new employees times the number of new employees if the average wage of  
4 the new employees equals at least two hundred percent of the Nebraska  
5 statewide average hourly wage for the year of application. Wages in  
6 excess of one million dollars paid to any one employee during the year  
7 shall be excluded from the calculations under this subdivision;

8 (d) If a taxpayer attains a cumulative investment in qualified  
9 property of at least two hundred fifty million dollars and hires at least  
10 two hundred fifty new employees at the qualified location or locations  
11 before the end of the ramp-up period, the taxpayer shall be entitled to a  
12 credit equal to seven percent times the average wage of new employees  
13 times the number of new employees if the average wage of the new  
14 employees equals at least one hundred fifty percent of the Nebraska  
15 statewide average hourly wage for the year of application. The credit  
16 shall equal nine percent times the average wage of new employees times  
17 the number of new employees if the average wage of the new employees  
18 equals at least two hundred percent of the Nebraska statewide average  
19 hourly wage for the year of application. Wages in excess of one million  
20 dollars paid to any one employee during the year shall be excluded from  
21 the calculations under this subdivision; or

22 (e) If a taxpayer attains a cumulative investment in qualified  
23 property of at least two hundred fifty thousand dollars but less than one  
24 million dollars and hires at least five new employees at the qualified  
25 location or locations before the end of the ramp-up period and the number  
26 of new employees and investment are at a qualified location within an  
27 economic redevelopment area, the taxpayer shall be entitled to a credit  
28 equal to seven ~~six~~ percent times the average wage of new employees times  
29 the number of new employees if the average wage of the new employees  
30 equals at least seventy percent of the Nebraska statewide average hourly  
31 wage for the year of application. Wages in excess of one million dollars

1 paid to any one employee during the year shall be excluded from the  
2 calculations under this subdivision. For purposes of this subdivision,  
3 economic redevelopment area means an area in which (i) the average rate  
4 of unemployment in the area during the period covered by the most recent  
5 American Community Survey 5-Year Estimate is at least one hundred fifty  
6 percent of the average rate of unemployment in the state during the same  
7 period and (ii) the average poverty rate in the area exceeds twenty  
8 percent for the total federal census tract or tracts or federal census  
9 block group or block groups in the area.

10 (5) The taxpayer shall be entitled to one of the following credits  
11 for new investment:

12 (a)(i) If a taxpayer attains a cumulative investment in qualified  
13 property of at least one million dollars and hires at least ten new  
14 employees at the qualified location or locations before the end of the  
15 ramp-up period, the taxpayer shall be entitled to a credit equal to four  
16 percent of the investment made in qualified property at the qualified  
17 location or locations;

18 (ii) If the taxpayer attains a cumulative investment in qualified  
19 property of at least one million dollars and hires at least ten new  
20 employees at the qualified location or locations before the end of the  
21 ramp-up period and the number of new employees and investment are at a  
22 qualified location in a county in Nebraska with a population of one  
23 hundred thousand or greater, and at which the majority of the business  
24 activities conducted are described in subdivision (1)(a) or (1)(n) of  
25 section 77-6818, the taxpayer shall be entitled to a credit equal to five  
26 ~~four~~ percent of the investment made in qualified property at the  
27 qualified location or locations unless the cumulative investment exceeds  
28 ten million dollars, in which case the taxpayer shall be entitled to a  
29 credit equal to eight ~~seven~~ percent of the investment made in qualified  
30 property at the qualified location or locations; or

31 (iii) If the taxpayer attains a cumulative investment in qualified

1 property of at least one million dollars and hires at least ten new  
2 employees at the qualified location or locations before the end of the  
3 ramp-up period and the number of new employees and investment are at a  
4 qualified location or locations within one or more counties in Nebraska  
5 that each have a population of less than one hundred thousand, and at  
6 which the majority of the business activities conducted are described in  
7 subdivision (1)(a) or (1)(n) of section 77-6818, the taxpayer shall be  
8 entitled to a credit equal to four percent of the investment made in  
9 qualified property at the qualified location or locations unless the  
10 cumulative investment exceeds ten million dollars, in which case the  
11 taxpayer shall be entitled to a credit equal to seven percent of the  
12 investment made in qualified property at the qualified location or  
13 locations. For purposes of meeting the ten-employee requirement of this  
14 subdivision, the number of new employees shall be multiplied by two;

15 (b) If a taxpayer attains a cumulative investment in qualified  
16 property of at least five million dollars and hires at least thirty new  
17 employees at the qualified location or locations before the end of the  
18 ramp-up period, the taxpayer shall be entitled to a credit equal to seven  
19 percent of the investment made in qualified property at the qualified  
20 location or locations;

21 (c) If a taxpayer attains a cumulative investment in qualified  
22 property of at least two hundred fifty million dollars and hires at least  
23 two hundred fifty new employees at the qualified location or locations  
24 before the end of the ramp-up period, the taxpayer shall be entitled to a  
25 credit equal to seven percent of the investment made in qualified  
26 property at the qualified location or locations; or

27 (d) If a taxpayer attains a cumulative investment in qualified  
28 property of at least two hundred fifty thousand dollars but less than one  
29 million dollars and hires at least five new employees at the qualified  
30 location or locations before the end of the ramp-up period and the number  
31 of new employees and investment are at a qualified location within an

1 economic redevelopment area, the taxpayer shall be entitled to a credit  
2 equal to four percent of the investment made in qualified property at the  
3 qualified location or locations. For purposes of this subdivision,  
4 economic redevelopment area means an area in which (i) the average rate  
5 of unemployment in the area during the period covered by the most recent  
6 American Community Survey 5-Year Estimate is at least one hundred fifty  
7 percent of the average rate of unemployment in the state during the same  
8 period and (ii) the average poverty rate in the area exceeds twenty  
9 percent for the total federal census tract or tracts or federal census  
10 block group or block groups in the area.

11 (6)(a) The credit percentages prescribed in subdivisions (4)(a),  
12 (b), (c), and (d) and subdivisions (5)(a), (b), and (c) of this section  
13 shall be increased by one percentage point for wages paid and investments  
14 made at qualified locations in an extremely blighted area. For purposes  
15 of this subdivision, extremely blighted area means an area which, before  
16 the end of the ramp-up period, has been declared an extremely blighted  
17 area under section 18-2101.02.

18 (b) The credit percentages prescribed in subsections (4) and (5) of  
19 this section shall be increased by one percentage point if the taxpayer:

20 (i) Employs three thousand or more Nebraska-based full-time  
21 employees as defined and described in section 4980H of the Internal  
22 Revenue Code of 1986, as amended, and the regulations for such section Is  
23 a benefit corporation as defined in section 21-403 and has been such a  
24 corporation for at least one year prior to submitting an application  
25 under the Imagine Nebraska Act; and

26 (ii) Within a seven-year period starting when a change of ownership  
27 and control event described in subsection (2) of section 77-6507 occurs,  
28 hires an additional one thousand or more full-time employees as defined  
29 and described in section 4980H of the Internal Revenue Code of 1986, as  
30 amended, and the regulations for such section. The average annual wages  
31 for such additional full-time employees must be ninety thousand dollars

1 or more. Such additional full-time employees must be either newly  
2 employed in this state or be an existing employee of the taxpayer who  
3 transfers from a position not within the state to a position in this  
4 state ~~Remains a benefit corporation as defined in section 21-403 for the~~  
5 ~~duration of the taxpayer's agreement under the Imagine Nebraska Act.~~

6 (c) A taxpayer may, if qualified, receive one or both of the  
7 increases provided in this subsection.

8 (7)(a) The credits prescribed in subsections (4) and (5) of this  
9 section shall be allowable for wages paid and investments made during  
10 each year of the performance period that the taxpayer is at or above the  
11 required levels of employment and investment.

12 (b) The credits prescribed in subsection (5) of this section shall  
13 also be allowable during the first year of the performance period for  
14 investment in qualified property at the qualified location or locations  
15 after the date of the complete application and before the beginning of  
16 the performance period.

17 (8)(a) Property described in subdivision (8)(c) of this section used  
18 at the qualified location or locations, whether purchased or leased, and  
19 placed in service by the taxpayer after the date of the complete  
20 application, shall constitute separate classes of property and are  
21 eligible for exemption under the conditions and for the time periods  
22 provided in subdivision (8)(b) of this section.

23 (b) A taxpayer shall receive the exemption of property in  
24 subdivision (8)(c) of this section if the taxpayer attains one of the  
25 following employment and investment levels: (i) Cumulative investment in  
26 qualified property of at least five million dollars and the hiring of at  
27 least thirty new employees at the qualified location or locations before  
28 the end of the ramp-up period; (ii) cumulative investment in qualified  
29 property of at least fifty million dollars at the qualified location or  
30 locations before the end of the ramp-up period, provided the average  
31 compensation of the taxpayer's employees at the qualified location or

1 locations for the year in which such investment level was attained equals  
2 at least one hundred fifty percent of the Nebraska statewide average  
3 hourly wage for the year of application and the taxpayer offers to its  
4 employees who constitute full-time employees as defined and described in  
5 section 4980H of the Internal Revenue Code of 1986, as amended, and the  
6 regulations for such section, at the qualified location or locations for  
7 the year in which such investment level was attained, the opportunity to  
8 enroll in minimum essential coverage under an eligible employer-sponsored  
9 plan, as those terms are defined and described in section 5000A of the  
10 Internal Revenue Code of 1986, as amended, and the regulations for such  
11 section; or (iii) cumulative investment in qualified property of at least  
12 two hundred fifty million dollars and the hiring of at least two hundred  
13 fifty new employees at the qualified location or locations before the end  
14 of the ramp-up period. Such property shall be eligible for the exemption  
15 from the first January 1 following the end of the year during which the  
16 required levels were exceeded through the ninth December 31 after the  
17 first year property included in subdivision (8)(c) of this section  
18 qualifies for the exemption, except that for a taxpayer who has filed an  
19 application under NAICS code 518210 for Data Processing, Hosting, and  
20 Related Services and who files a separate sequential application for the  
21 same NAICS code for which the ramp-up period begins with the year  
22 immediately after the end of the previous project's performance period or  
23 a taxpayer who has a project qualifying under subdivision (1)(b)(ii) of  
24 section 77-5725 and who files a separate sequential application for NAICS  
25 code 518210 for Data Processing, Hosting, and Related Services for which  
26 the ramp-up period begins with the year immediately after the end of the  
27 previous project's entitlement period, such property described in  
28 subdivision (8)(c)(i) of this section shall be eligible for the exemption  
29 from the first January 1 following the placement in service of such  
30 property through the ninth December 31 after the year the first claim for  
31 exemption is approved.



1       (c) The following personal property used at the qualified location  
2 or locations, whether purchased or leased, and placed in service by the  
3 taxpayer after the date of the complete application shall constitute  
4 separate classes of personal property:

5       (i) All personal property that constitutes a data center if the  
6 taxpayer qualifies under subdivision (8)(b)(i) or (8)(b)(ii) of this  
7 section;

8       (ii) Business equipment that is located at a qualified location or  
9 locations and that is involved directly in the manufacture or processing  
10 of agricultural products, including business equipment used primarily for  
11 the capture and compression of carbon dioxide, the manufacturing of  
12 liquid fertilizer or any other chemical applied to agricultural crops, or  
13 the manufacturing of any liquid additive for a farm vehicle fuel if the  
14 taxpayer qualifies under subdivision (8)(b)(i) or (8)(b)(ii) of this  
15 section; or

16       (iii) All personal property if the taxpayer qualifies under  
17 subdivision (8)(b)(iii) of this section.

18       (d) In order to receive the property tax exemptions allowed by  
19 subdivision (8)(c) of this section, the taxpayer shall annually file a  
20 claim for exemption with the Tax Commissioner on or before May 1. The  
21 form and supporting schedules shall be prescribed by the Tax Commissioner  
22 and shall list all property for which exemption is being sought under  
23 this section. A separate claim for exemption must be filed for each  
24 agreement and each county in which property is claimed to be exempt. A  
25 copy of this form must also be filed with the county assessor in each  
26 county in which the applicant is requesting exemption. The Tax  
27 Commissioner shall determine whether a taxpayer is eligible to obtain  
28 exemption for personal property based on the criteria for exemption and  
29 the eligibility of each item listed for exemption and, on or before  
30 August 1, certify such determination to the taxpayer and to the affected  
31 county assessor.

1           (9) The taxpayer shall, on or before the receipt or use of any  
2 incentives under this section, pay to the director a fee of one-half  
3 percent of such incentives, except for the exemption on personal  
4 property, for administering the ImagineNE Nebraska Act, except that the fee  
5 on any sales tax exemption may be paid by the taxpayer with the filing of  
6 its sales and use tax return. Such fee may be paid by direct payment to  
7 the director or through withholding of available refunds. A credit shall  
8 be allowed against such fee for the amount of the fee paid with the  
9 application. All fees collected under this subsection shall be remitted  
10 to the State Treasurer for credit to the ImagineNE Nebraska Cash Fund,  
11 which fund is hereby created. The fund shall consist of fees credited  
12 under this subsection and any other money appropriated to the fund by the  
13 Legislature. The fund shall be administered by the Department of Economic  
14 Development and shall be used for administration of the ImagineNE Nebraska  
15 Act. Any money in the fund available for investment shall be invested by  
16 the state investment officer pursuant to the Nebraska Capital Expansion  
17 Act and the Nebraska State Funds Investment Act.

18           **Sec. 7.** Section 81-12,144, Reissue Revised Statutes of Nebraska, is  
19 amended to read:

20           81-12,144 Sections 81-12,144 to 81-12,151 and section 8 of this act  
21 shall be known and may be cited as the Site and Building Development Act.

22           **Sec. 8.** For purposes of the Site and Building Development Act, key  
23 employer has the same meaning as in section 77-6509.

24           **Sec. 9.** Section 81-12,146, Reissue Revised Statutes of Nebraska, is  
25 amended to read:

26           81-12,146 (1) The Site and Building Development Fund is created. The  
27 fund shall receive money pursuant to section 76-903 and may include  
28 revenue from transfers by the Legislature, grants, private contributions,  
29 repayment of loans, and all other sources. The Department of Economic  
30 Development, as part of its comprehensive business development strategy,  
31 shall administer the fund. Transfers may be made from the fund to the

1 General Fund at the direction of the Legislature. Any money in the Site  
2 and Building Development Fund available for investment shall be invested  
3 by the state investment officer pursuant to the Nebraska Capital  
4 Expansion Act and the Nebraska State Funds Investment Act.

5 (2) It is the intent of the Legislature to transfer five million  
6 dollars from the General Fund to the Site and Building Development Fund  
7 for fiscal year 2022-23 and five million dollars from the General Fund to  
8 the Site and Building Development Fund for fiscal year 2023-24. Such  
9 money shall be placed in a subaccount of the Site and Building  
10 Development Fund and earmarked for use to fund large shovel-ready  
11 commercial and industrial sites developed under the Municipal Inland Port  
12 Authority Act.

13 (3)(a) It is the intent of the Legislature to appropriate five  
14 hundred thousand dollars from the Site and Building Development Fund for  
15 fiscal year 2024-25 to the department to enter into one or more contracts  
16 to conduct a comprehensive study or studies to identify and evaluate  
17 large commercial and industrial sites in Nebraska that have the potential  
18 to attract major investment and employment opportunities. The study shall  
19 include consideration of super sites that encompass between five hundred  
20 and one thousand acres and mega sites that encompass more than one  
21 thousand acres. At least one proposed site shall be located west of the  
22 one hundredth meridian in Nebraska. The contracts shall be awarded based  
23 on a competitive selection process as determined by the department. The  
24 studies shall be completed no later than December 15, 2024.

25 (b) The study shall assess the potential geographic locations; the  
26 infrastructure assets that would be required for each site, including  
27 highway, rail, and air transportation, and utilities such as water,  
28 wastewater treatment, electrical power, and natural gas; the population  
29 within fifty miles of each site and whether such population would be  
30 sufficient to provide an adequate workforce for such site; and the  
31 appropriate level of state investment necessary to position Nebraska as a

1 nationally or globally competitive location for site selection targeting  
2 various sectors, including, but not limited to, advanced manufacturing,  
3 trade, bioscience, agribusiness, warehousing and supply chain logistics,  
4 technology, aerospace, automotive, clean energy, military support, and  
5 life sciences. Such identified state investment levels may include, but  
6 are not limited to, land acquisition costs and infrastructure  
7 investments. The purpose of the study is to provide strategic insights  
8 that will enable the state to attract major investment and employment  
9 opportunities in order to support the growth of transformational  
10 industries within Nebraska.

11 (c) The Director of Economic Development shall appoint an advisory  
12 committee comprised of representatives of Nebraska economic development  
13 organizations, equally representing each of Nebraska's three  
14 congressional districts, to assist the department in identifying the  
15 location of potential and preferred super sites and mega sites.

16 (4) It is the intent of the Legislature to transfer five million  
17 dollars from the General Fund to the Site and Building Development Fund  
18 for fiscal year 2026-27 solely for funding key employer retention capital  
19 improvement grants to key employers with a change of ownership and  
20 control event described in subsection (2) of section 77-6507. These  
21 grants may be provided to support capital improvements related to the  
22 retention or hiring of in-state employees following a change of ownership  
23 and control event as described in subsection (2) of section 77-6507.

24 **Sec. 10.** Section 81-12,147, Reissue Revised Statutes of Nebraska, is  
25 amended to read:

26 81-12,147 (1) Except as provided in subsection (2) of this section,  
27 the Department of Economic Development shall use the Site and Building  
28 Development Fund to finance loans, grants, subsidies, credit  
29 enhancements, and other financial assistance for industrial site and  
30 building development and for expenses of the department as appropriated  
31 by the Legislature for administering the fund. The following activities

1 are eligible for assistance from the fund:

2 (a) Grants or zero-interest loans to villages, cities, or counties  
3 to acquire land, infuse infrastructure, or otherwise make large sites and  
4 buildings ready for industrial development;

5 (b) Matching funds for new construction, rehabilitation, or  
6 acquisition of land and buildings to assist villages, cities, and  
7 counties;

8 (c) Technical assistance, design and finance services, and  
9 consultation for villages, cities, and counties for the preparation and  
10 creation of industrial-ready sites and buildings;

11 (d) Loan guarantees for eligible projects;

12 (e) Projects making industrial-ready sites and buildings more  
13 accessible to business and industry;

14 (f) Infrastructure projects necessary for the development of  
15 industrial-ready sites and buildings;

16 (g) Projects that mitigate the economic impact of a closure or  
17 downsizing of a private-sector entity by making necessary improvements to  
18 buildings and infrastructure;

19 (h) Public and private sector initiatives that will improve the  
20 military value of military installations by making necessary improvements  
21 to buildings and infrastructure, including, but not limited to, a grant  
22 for the establishment of the United States Strategic Command Nuclear  
23 Command, Control, and Communications public-private-partnership facility;

24 (i) A grant to a city of the second class that is served by two  
25 first-class railroads, that is within fifteen miles of two state borders,  
26 and that partners with public power utilities for purposes of expanding  
27 electrical system capacities and enhancing redundancy and resilience;

28 (j) A grant of two million dollars to a city of the first class  
29 located in the third congressional district if the property previously  
30 housed a university or college that is no longer extant and if the  
31 improvement and revitalization of the real property is for purposes of

1 supporting the housing, employment, and program needs of youth exiting  
2 the foster care system. In addition, the real property may be used for  
3 youth exiting juvenile court supervision in an out-of-home placement;

4 (k) Public and private sector initiatives that will improve the  
5 value of cities of the second class that have partnered with the United  
6 States Department of Defense or its contractors on upgrades to ground-  
7 based nuclear deterrence. Such improvements include the construction of  
8 electrical, drinking water, and clean water infrastructure; and

9 (l) Identification, evaluation, and development of large commercial  
10 and industrial sites and building infrastructure to attract major  
11 investment and employment opportunities for advanced manufacturing,  
12 processing, trade, technology, aerospace, automotive, clean energy, life  
13 science, and other transformational industries in Nebraska by means of  
14 the department providing grants to or partnering with political  
15 subdivisions, including inland port authorities under the Municipal  
16 Inland Port Authority Act, or nonprofit economic development corporations  
17 and entering into contracts for consulting, engineering, and development  
18 studies to identify, evaluate, and develop large commercial and  
19 industrial sites in Nebraska; and -

20 (m) A grant to a key employer to support capital improvements  
21 related to site and building development related to the retention and  
22 recruitment of employees following a change of ownership and control  
23 event described in subsection (2) of section 77-6507. Such grant shall be  
24 made at a rate of five dollars per square foot of capital improvements  
25 related to site and building development, but the aggregate grant shall  
26 not exceed five million dollars.

27 (2) The Department of Economic Development shall use the subaccount  
28 of the Site and Building Development Fund described in subsection (2) of  
29 section 81-12,146 to provide financial assistance to any inland port  
30 authority created under the Municipal Inland Port Authority Act to help  
31 finance large shovel-ready commercial and industrial sites developed

1 under such act.

2 **Sec. 11.** Section 81-12,148, Reissue Revised Statutes of Nebraska, is  
3 amended to read:

4 81-12,148 (1) Governmental subdivisions and Nebraska nonprofit  
5 organizations are eligible to receive assistance under the Site and  
6 Building Development Act. Any entity receiving assistance under  
7 subsection (1) of section 81-12,147 shall provide, or cause to be  
8 provided, matching funds for the eligible activity in an amount  
9 determined by the Department of Economic Development, which amount shall  
10 be at least equal to one hundred percent of the amount of assistance  
11 provided by the Site and Building Development Fund. Nothing in the act  
12 shall be construed to allow individuals or businesses to receive direct  
13 loans from the fund.

14 (2) An applicant for a grant for development of a public-private-  
15 partnership facility under subdivision (1)(h) of section 81-12,147 shall  
16 provide the Director of Economic Development with a letter of support  
17 from the United States Strategic Command prior to approval of the  
18 application and with proof of the availability of twenty million dollars  
19 in private or other funds for the facility. No funds shall be expended or  
20 grants awarded until receipt of proof of the availability of twenty  
21 million dollars in private or other funds for the facility and  
22 certification is provided by the Director of Economic Development to the  
23 budget administrator of the budget division of the Department of  
24 Administrative Services.

25 (3) An applicant for a grant for development under subdivision (1)  
26 (k) of section 81-12,147 is not required to meet the matching fund  
27 requirements pursuant to this section but shall provide the Director of  
28 Economic Development a letter from the United States Department of  
29 Defense or contractor providing upgrades to ground-based nuclear  
30 deterrence that infrastructure improvements, including the construction  
31 of electrical, drinking water, and clean water infrastructure, will not

1 be included in the scope of the project. No grants shall be awarded or  
2 funds expended until such letter is received.

3 (4) This section does not apply to any inland port authority  
4 receiving assistance under subsection (2) of section 81-12,147 or a key  
5 employer receiving assistance following a change of ownership and control  
6 described in subsection (2) of section 77-6507.

7 **Sec. 12.** Section 81-12,149, Reissue Revised Statutes of Nebraska, is  
8 amended to read:

9 81-12,149 (1) During each calendar year in which funds are available  
10 from the Site and Building Development Fund for use by the Department of  
11 Economic Development pursuant to subdivisions (1)(a) through (g) of  
12 section 81-12,147, the department shall allocate a specific amount of  
13 funds, not less than forty percent, to nonmetropolitan areas. For  
14 purposes of this section, nonmetropolitan areas means counties with fewer  
15 than one hundred thousand inhabitants according to the most recent  
16 federal decennial census. In selecting projects to receive such fund  
17 assistance, the department shall develop a qualified action plan by  
18 January 1 of each even-numbered year. The plan shall give first priority  
19 to financially viable projects that have an agreement with a business  
20 that will locate a site within ninety days of the signed agreement and to  
21 financially viable projects located in whole or in part within an  
22 enterprise zone designated pursuant to the Enterprise Zone Act or an  
23 opportunity zone designated pursuant to the federal Tax Cuts and Jobs  
24 Act, Public Law 115-97. The plan shall set forth selection criteria to be  
25 used to determine priorities of the fund for activities pursuant to  
26 subdivisions (1)(a) through (g) of section 81-12,147 which are  
27 appropriate to local conditions, including the community's immediate need  
28 for site and building development, proposed increases in jobs and  
29 investment, private dollars leveraged, level of local government support  
30 and participation, and repayment, in part or in whole, of financial  
31 assistance awarded by the fund. The Director of Economic Development



1 shall submit the plan to the Governor for approval.

2 (2) The department shall fund in order of priority as many  
3 applications for activities pursuant to subdivisions (1)(a) through (g)  
4 of section 81-12,147 as will utilize available money in the Site and  
5 Building Development Fund less actual administrative costs of the  
6 department in administering the fund and less any funds specifically  
7 committed to a key employer site and building development grant for a key  
8 employer with a change of ownership and control event described in  
9 subsection (2) of section 77-6507. In administering the fund, the  
10 department may contract for services or directly provide money to other  
11 governmental entities or instrumentalities.

12 (3) This section does not apply to any inland port authority  
13 receiving assistance under subsection (2) of section 81-12,147.

14 **Sec. 13.** (1) The Department of Labor shall establish a key employer  
15 grant program to provide key employers experiencing a change of ownership  
16 and control event described in subsection (2) of section 77-6507  
17 additional support for the implementation of a plan to retain or attract  
18 workforce in the state. The total amount of grant funds awarded pursuant  
19 to this subsection shall not exceed three hundred thousand dollars  
20 annually for any key employer. For purposes of this section, key employer  
21 has the same meaning as in section 77-6509.

22 (2) The grants awarded pursuant to subsection (1) of this section  
23 must be made within the [x]-year period immediately following the change  
24 of ownership and control event described in subsection (2) of section  
25 77-6507.

26 (3) Prior to the award of a grant pursuant to subsection (1) of this  
27 section, the key employer must apply to the department for a grant.  
28 Grants will only be awarded to a key employer if such employer submits to  
29 the department a retention and relocation plan application. Such  
30 application shall include:

31 (a) The name of the applicant and a contact person for such

1 application;

2 (b) Information regarding the applicant's qualification as a key  
3 employer experiencing a change of ownership and control event described  
4 in subsection (2) of section 77-6507;

5 (c) A narrative description of the key employer's retention and  
6 relocation plan to retain within the state or relocate to the state at  
7 least [X,000] employees during the [X] years following the change of  
8 ownership and control;

9 (d) The amount of funding requested subject to the limitations of  
10 this section; and

11 (e) Any other information the department may require.

12 (4) If the funds available for grants in any year are insufficient  
13 to provide grants to all eligible applicants, the department shall  
14 prioritize awards to the retention and relocation plan of the employer  
15 with the largest number of employees within Nebraska during the ten years  
16 prior to the key employer's change of ownership and control event  
17 described in subsection (2) of section 77-6507.

18 **Sec. 14.** If any section in this act or any part of any section is  
19 declared invalid or unconstitutional, the declaration shall not affect  
20 the validity or constitutionality of the remaining portions.

21 **Sec. 15.** Original sections 49-801.01, 81-12,144, 81-12,146,  
22 81-12,147, 81-12,148, and 81-12,149, Reissue Revised Statutes of  
23 Nebraska, sections 77-6502, 77-6507, 77-6509, and 77-6516, Revised  
24 Statutes Cumulative Supplement, 2024, and section 77-6831, Revised  
25 Statutes Supplement, 2025, are repealed.

26 **Sec. 16.** Since an emergency exists, this act takes effect when  
27 passed and approved according to law.